



TOWN of BROOKLINE

Massachusetts

Walnut Hills Cemetery Old Burying Ground

Trustees

*Nina Brown
Robert Cook, Chairman
Gerard Hayes
Richard Leary
Peggy Maguire
Joslin Ham Murphy*

Director of Parks and Open Space

Erin Chute Gallentine

Walnut Hills Cemetery Trustees Meeting

Wednesday, June 28, 2017

8:30am – 9:30 am

Trustees Present: Gerard Hayes, Peggy Maguire, Joslin Ham Murphy and Richard Leary

Trustees Absent: Robert Cook and Nina Brown

Staff Present: Erin Gallentine, Director of Parks and Open Space, Jessica White, Parks and Open Space Assistant

Guests Present: Jeana A. Franconi, Finance Director/Treasurer, Gayle Rosewell, UBS Financial Services Administrator and Melissa Goff, Deputy Town Administrator

1. Welcome and Approval of the Minutes

D. Leary opened the meeting and moved for approval of the April 5, 2017 minutes.

G. Hayes had a few questions regarding the April 5, 2017 minutes. He is not sure what was approved regarding the plantings. His recollection is that the Trustees approved \$14,173 for sections A,B,G and H in the planting proposal. However, the data presented by A. Blair, Landscape Architect, only included the costs to purchase plant material from the nursery and did not include labor costs by a contractor. E. Gallentine agreed with G. Hayes statement and provided an updated spread sheet for the Trustees. A. Blair amended the sheet to clearly indicate costs of the material alone. E. Gallentine will manage installation of the plants with in-house crews. She is hoping to schedule some of the work fall 2017 or spring 2018. E. Gallentine wanted to point out that nursery prices do fluctuate year to year and the prices reflected in the estimate may change. G. Hayes stated that there was a lot of discussion surrounding fencing and he does not remember taking any vote on that. E. Gallentine stated that is correct. E. Gallentine walked the perimeter with B. Cook to review and discuss the condition of the fencing. She already has some fence repair work scheduled for the cemetery. D. Leary noted that he too had discussed fencing with E. Gallentine and thought that it should be the subject of a meeting in the fall.

D. Leary moved for approval of the April 5, 2017 Walnut Hills Cemetery Trustees meeting minutes. Seconded by G. Hayes. All in favor.

2. Sign Deeds

The deeds were passed around and signed by the Trustees.

3. Introduction to Jeana A. Franconi, Finance Director/Treasurer

D. Leary stated that he is delighted to have Jeana Franconi with us today. D. Leary stated that Brookline has had a tradition of excellence in this department and he is happy she is here to carry this on. J. Franconi thanked the WHC Trustees for inviting her. She has been with the town for about a month; everyone has been so kind and helpful. She spoke a little bit about her background and experience. Everyone went around the table and introduced themselves to J. Franconi. She is looking forward to working with E. Gallentine.

4. Presentation by UBS Financial Services Administrator, Gayle Rosewell

D. Leary introduced G. Rosewell. She provided a brief rundown of her background and work history with the Town. She also provided some background on her work with former Director/Treasurer Stephen Cirillo. G. Rosewell handed out an involvement policy statement and investment report. She stated that S. Cirillo and she made the decision to utilize an Investment Manager whose whole focus is around risk. The large cap equity portion of these assets are invested in an equity income portfolio and driven mostly by dividends. These stocks are dividend yielding and the goal of the Investment Manager is to invest with companies whose dividends are increasing. This Manager is interested in growth with income and income being the main component. She referred to the portfolio and discussed the top holdings and a breakdown of the asset allocation. The Manager uses the dividend portion and a conservative strategy that increases the income portions. She stated that there was a deliberate approach with the Walnut Hills Cemetery Trusts to focus on growth, but also have an income stream so that there is money available when it needs to be used. She stated that they did not want to be limited to very large companies only. The portfolio includes a small and mid-cap component. She stated that during the last two years, due to a Town Meeting vote, they chose to be a no energy portfolio. The investment policy statement was updated to indicate that there will be no energy investments. In addition, there is no international component in the portfolio as of now. She stated that S. Cirillo was clear about getting us to a point to select our own investments and invest more appropriately, but he was conservative in the way that he chose a portfolio to ensure that it was right for the Town.

G. Hayes asked if the investment policy is for all of the funds aggregated that the Treasurer manages or is it for this particular fund. G. Rosewell stated that it holds for every one of the trust assets; it's not specific to WHC. She stated that all trust assets are basically the same, they are supposed to be utilized to service income, they are mostly utilized for an income stream.

G. Rosewell started with the allocation portion of the portfolio. She stated that currently in the strength of the market the investments are at a 60/40 split. She stated that 60 percent of the portfolio is in equity and there is a cash position (it stays at a 3-5% position and the remainder is in fixed income). She stated that the investment policy statement does allow us to go as high as 70 percent. She stated that we have always been around 60 percent and she is comfortable with the 60/40 split.

She stated most importantly there is a cash flow alone of almost \$30,000. She stated that the dividends are being reinvested back into the income.

The equity sectors were discussed. She stated that according to the investment policy statement no individual holding is higher than 5 percent.

The credit quality of the bonds are all AAA. She stated that they are not looking for the long term hold, but rather for the quality of those assets. She stated that if you break it down it see is approximately 73% large cap, 23% mid and 4 % in small cap.

The largest equity holdings were discussed. These are strong and the dividend yield is continuing to grow.

The bond summary was discussed. The bond summary shows, the credit of quality of what they can hold, what they are and their maturity schedule.

She stated that from a performance summary standpoint there are different sectors to the markets and you have those that are more aggressive than others. She gave some background into the 90's large cap growth. Everything goes in and out of favor and neither S. Cirillo nor G. Rosewall believes in market timing. In this portfolio there are some growth stocks, but predominantly it's a large cap portfolio. Since moving to USB in 2012 we are up an average of 7 percent per year. She stated year to date we are up 5.61 percent.

She included a breakdown of the small and mid-cap portfolio and equity income portfolios. She included equity income so the Trustees could see the parameters used.

G. Rosewell discussed the measurement of risk and how it's calculated. She stated that you can see there is substantially less in this portfolio than in the S&P. She discussed the dividend yield. She also discussed a guideline that she can use when the Town starts taking money from the portfolio and how much money can be generated from it.

E. Gallentine thanked G. Rosewell for the overview and portfolio report.

G. Hayes and G. Roswell discussed the Retirement and Library funds.

G. Hayes knows that we need to be somewhat conservative, but we are also going to need money for the long run and maybe more growth would be useful. G. Rosewell stated that it is growing and so she doesn't want to mislead and say it isn't growing. She wanted to clarify that it is a less aggressive portfolio than the S&P, but it is still a growing portfolio.

D. Leary stated that he is on the board of other cemeteries and he stated that the 60/40 split seems to be customary among cemeteries.

E. Gallentine asked G. Rosewell how frequently the fund looked at and whether purchases/sales are made in consultation with the Finance Director or just the Funds Manager . G. Rosewell stated that as in most Institutional Investment Mangers they are discretionary and based on the management style of that particular manager. They need to be discretionary mostly because people's opinions are very different than looking at things purely from an investment standpoint. She met with S. Cirillo every quarter or provided him the portfolio. The portfolio is constantly being looked at by a team of 3.

G. Hayes asked if the team of three stay in touch with the Finance Director. G. Rosewell stated that she stays in touch with the Finance Directors; she is the advisor to the fund. They are money managers and do not work directly with the clients.

P. Maguire and G. Rosewell discussed the fees to manage this portfolio.

E. Gallentine printed out the year to date budget for SW01, TW23 and TW24. E. Gallentine discussed the Trustees goal of having more of SW01 invested as well.

5. New Business

G. Hayes asked if a presentation could be made available ahead of time. E. Gallentine stated that would be feasible sometimes, but at other times the presentations were being worked on until the meeting. A. Blair did not have her presentation complete in time to mail to the Trustees and the UBS portfolio was made available to everyone at the same time at the meeting today.

The garage issue has been tabled.

6. Adjourn

D. Leary moved to adjourn. Seconded by P. Maguire. All in favor.